Rating SELL

Target Price: $244.42

Current Price: $295.98

Downside: –17.4%

Market Cap: $37.5bn

52W Range: $220.90 – $330.37

Beta: 0.83

WACC: 7.14%

Financial Data ($mm) — FY2023 FY2024 FY2025

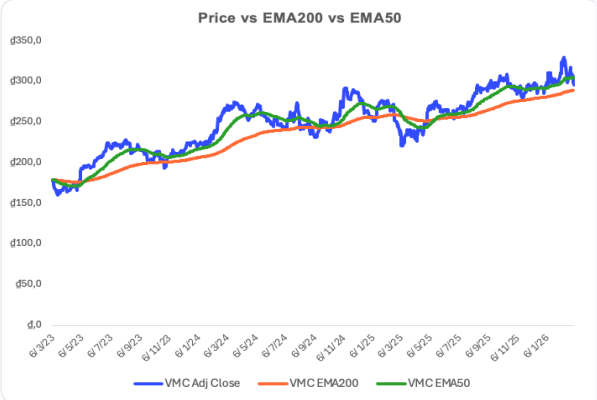
Revenue	7,782	7,418	7,941
EBITDA	1,939	2,028	2,276
EBIT	1,322	1,396	1,527
Net Income	933	912	1,077
Free Cash Flow	664	806	1,135

Key Ratios (FY2025)

EBITDA Margin	28.7%
Net Margin	13.6%
ROIC	9.2%
Net Debt/EBITDA	1.84x
Interest Coverage	9.5x
EV/EBITDA (LTM)	18.8x
P/E (LTM)	31.7x

Valuation (Weighted Target)

EV/EBITDA Peer Median:	$166.10	(30%)
EV/EBITDA 5Y Historical:	$268.56	(60%)
EV/Revenue Peer:	$113.86	(10%)
DCF FCFF (Bull):	$212.61	(Ref.)



IIJA infrastructure spending is priced in.

Investment Opinion

Vulcan Materials is the largest U.S. aggregates producer by volume, with an irreplaceable quarry network spanning 400 sites across 22 states. Its pricing power is real, its free cash flow conversion is improving, and IIJA infrastructure tailwinds are genuine. The investment case against the stock is purely a valuation argument. At $295.98, VMC trades at 18.8x LTM EV/EBITDA, a 55 percent premium to the peer median of 12.1x and 40 percent above its own five-year historical average. The IIJA re-rated the stock from 16x to 19x EV/EBITDA between 2022 and 2025. That repricing is complete. Remaining federal disbursements sustain current demand; they do not represent incremental earnings upside beyond consensus. Our blended target of $244.42 already embeds a 7.5 percent qualitative premium for structural advantages. The stock still implies 17.4 percent downside. We initiate at Sell.

Commentaries

Valuation

VMC trades at a material premium to all valuation anchors. The EV/EBITDA peer median of 12.1x implies $166 per share. The five-year historical average of 18.4x implies $269, already above the current price. A 60/30/10 blended weight across these methods and EV/Revenue produces a pre-adjustment target of $227. After applying a 7.5 percent qualitative premium for the permitting moat and IIJA tailwind, the adjusted target is $244.

Free Cash Flow

FY2025 free cash flow reached $1.14bn, up 41 percent year on year, as capex normalised from the $873mm FY2023 peak to $678mm. FCF yield at the current price is 3.0 percent, below the 10-year Treasury yield of 4.0 percent. The stock offers insufficient FCF compensation for the equity risk premium at current prices.

Key Risks

Upside risk: IIJA federal disbursements accelerate materially above consensus, or sustained pricing power above 8 percent per ton offsets volume softness. Downside risk: valuation compression toward the peer median, macro slowdown, or further deterioration in the governance score limiting the institutional investor base.

1. Executive Summary

Rating	Target Price	Current Price	Downside	Market Cap	52W Range
SELL	$244.42	$295.98	–17.4%	$37.5bn	$220.90 – $330.37

Investment Thesis

Vulcan Materials holds the largest U.S. aggregates market position by volume, backed by a quarry network that cannot be replicated at scale. New quarry permits in contested U.S. markets take seven to ten years to obtain; the last major greenfield site in an urban fringe market was permitted over a decade ago. This structural moat gives VMC sustained pricing power: the company has raised aggregate price per ton by 8 to 10 percent annually for the better part of a decade, including through cyclical volume softness. None of this is in dispute. The investment case against the stock is that the market has already priced in every positive scenario simultaneously. At $295.98, VMC trades at 18.8x LTM EV/EBITDA, a 55 percent premium to the peer median of 12.1x and 40 percent above its own five-year historical average. The IIJA infrastructure tailwind is consensus, embedded in street models and in the multiple since 2022. Our blended target of $244.42 incorporates a 7.5 percent qualitative premium for structural advantages and still implies 17.4 percent downside. We rate VMC Sell.

Key Points

Theme	Detail
Valuation	VMC at 18.8x EV/EBITDA is 55% above peer median 12.1x with no fundamental justification at current growth rates
FCF	FY2025 FCF of $1.14bn (+41% YoY) is strong but reflected in the multiple; FCF yield of 3.0% is below the risk-free rate
IIJA	Infrastructure tailwind is consensus and priced in; remaining disbursements maintain elevated demand, not incremental upside
Concrete segment	Revenue collapsed 48% from FY2023 to FY2024 ($1.25bn to $654mm) on residential weakness; recovery lags rate normalisation
Governance	ESG governance score of 21.0 (D+) restricts ESG-mandated capital, which now represents over 25% of U.S. institutional AUM

Major Risks

Risk	Direction	Probability	Impact
Multiple compression toward peer median	Downside	High	High
Macro-driven construction activity decline	Downside	Medium	High
Residential recovery slower than modelled	Downside	Medium	Medium
IIJA disbursements accelerate above consensus	Upside	Medium	Medium
Pricing power sustains above 8% per annum	Upside	High	Medium

2. Company Overview

Business Model

Vulcan Materials produces crushed stone, sand, and gravel, supplying the aggregates that underpin every road, bridge, building foundation, and utility corridor in the United States. The company operates more than 400 permitted quarry sites across 22 states, concentrated in the Sun Belt, the fastest-growing population corridor in the country. Aggregates contributed 73 percent of FY2025 revenue ($5.8bn of $7.9bn total), with asphalt mix at 16 percent and ready-mix concrete at 11 percent. The economics of the model are straightforward: high upfront capital to acquire and permit a quarry, followed by decades of recurring, inflation-linked cash flows once operational. Because aggregate is heavy and low-value per ton, it is uneconomical to ship more than roughly 50 miles. That radius creates a regional monopoly dynamic around every active quarry site.

Competitive Position

VMC holds the number two position in U.S. aggregates by market share, competing directly with Martin Marietta Materials domestically and CRH globally. Its quarry portfolio is skewed toward the Southeast, Southwest, and Mid-Atlantic, markets where infrastructure investment and population-driven construction demand are structurally above the national average. CRH has been aggressively consolidating U.S. aggregates through acquisitions exceeding $4bn in the past two years, building scale in several of VMC's core markets. This intensifies competition for bolt-on M&A targets but reinforces industry-wide pricing discipline. No new large-scale quarry has received a permit in a contested U.S. urban fringe market in over a decade.

Operating Metrics (FY2025)

	VMC	MLM	CRH	EXP	KNF	CX
Revenue ($mm)	7,941	6,150	37,447	2,261	3,146	16,132
EBITDA ($mm)	2,276	2,130	7,479	765	491	2,296
Net Debt/EBITDA	1.84x	2.61x	1.88x	1.59x	2.12x	2.09x
Employees	11,172	9,600	83,032	2,500	5,298	39,462

3. Industry Analysis

Market Structure

The U.S. construction aggregates market generates approximately $35bn in annual revenue, growing at a low to mid single-digit pace through normal cycles. Demand splits roughly 50/50 between private construction (residential and commercial) and public infrastructure (highways, bridges, and airports). The market is structurally local: aggregate is heavy and low-value per ton, making it uneconomical to transport more than 50 miles. This geography locks each producing quarry into a regional monopoly and gives incumbent operators significant pricing latitude. Nationally, the top five producers control roughly 35 percent of supply; the remainder sits with thousands of smaller regional operators who serve as M&A targets for the majors.

IIJA and Public Infrastructure Tailwind

The Infrastructure Investment and Jobs Act, signed in November 2021, committed $1.2 trillion in federal spending over ten years, including $550bn in new discretionary investment. Highway and bridge programs are the most aggregate-intensive components, disbursed through the Federal Highway Administration via annual formula apportionments to states. Obligation rates accelerated materially in FY2024 and FY2025, and VMC cited IIJA-related demand in both years. The important distinction for investors is that IIJA demand is now consensus. Sell-side models built from 2022 through 2024 embedded IIJA into their volume and pricing forecasts, driving the stock from roughly 16x to 19x EV/EBITDA in the process. Remaining IIJA disbursements sustain elevated demand; they do not represent incremental upside relative to current consensus estimates or current valuation levels.

Private Construction and Cyclical Headwinds

VMC's concrete segment is the most direct proxy for residential and light commercial construction activity. Concrete revenue fell from $1.25bn in FY2023 to $654mm in FY2024, a 48 percent decline, as rising mortgage rates pushed new housing starts to multi-decade lows. Recovery is underway but slower than initially modelled by the street. Our base case assumes a gradual rebound in residential starts through FY2026 and FY2027, consistent with Federal Reserve rate normalisation, already embedded in consensus estimates. Asphalt has been more resilient given its higher public-sector weighting and should remain supported through the IIJA disbursement cycle.

Competitive Landscape and Consolidation

CRH's sustained U.S. acquisition pace and MLM's domestic bolt-on strategy are reshaping the competitive landscape. The positive read-through is pricing discipline: fewer, larger operators have less incentive to discount. The risk for VMC is acquisition

multiple inflation. Quarry assets with permits are trading at elevated prices, limiting VMC's ability to grow inorganically at acceptable returns. New entrants face an effective barrier: permitting timelines of 7 to 10 years and community opposition make greenfield quarry development commercially unviable in most high-demand markets.

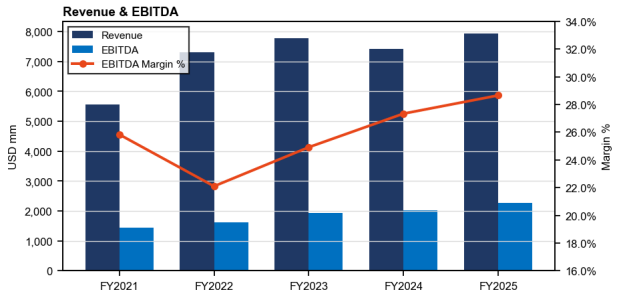
Market Outlook

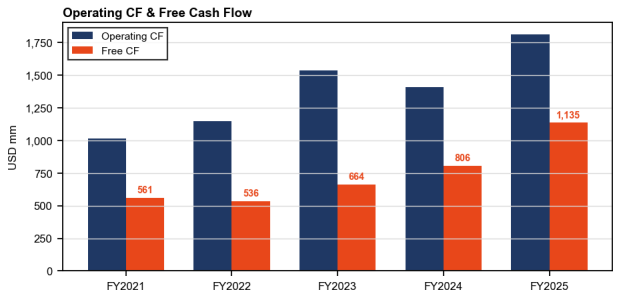
Segment	FY2025 Revenue	Demand Driver	Outlook
Aggregates (73%)	$5,800mm	IIJA highways, commercial construction	Stable to positive; IIJA maintains volumes
Asphalt (16%)	$1,294mm	State DOT road maintenance, federal programs	Positive; high public-sector weighting
Concrete (11%)	$847mm	Residential and commercial construction	Recovering; lags rate normalisation cycle

4. Financial Analysis

Five-Year Income Statement ($mm)

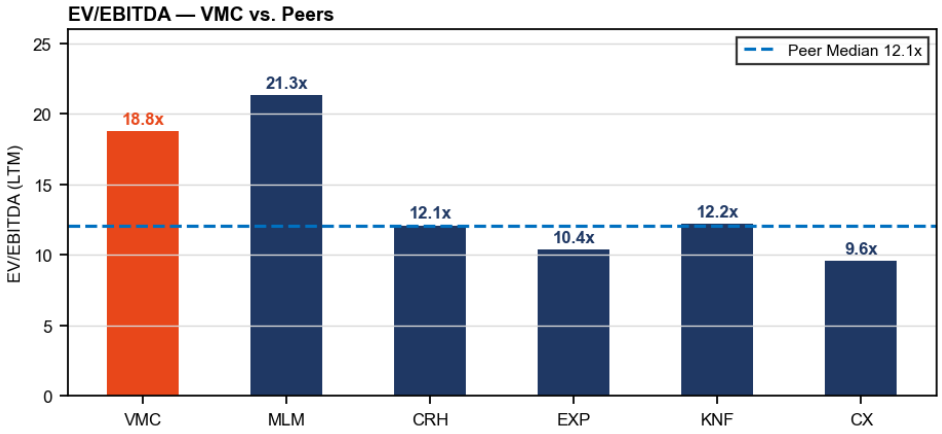
	FY2021	FY2022	FY2023	FY2024	FY2025	4Y CAGR
Revenue	5,552	7,315	7,782	7,418	7,941	9.4%
Gross Profit	1,373	1,558	1,949	2,000	2,175	12.2%
EBITDA	1,435	1,617	1,939	2,028	2,276	12.2%
EBIT	972	1,030	1,322	1,396	1,527	12.0%
Net Income	671	576	933	912	1,077	12.6%
Free Cash Flow	561	536	664	806	1,135	19.2%
EBITDA Margin	25.8%	22.1%	24.9%	27.3%	28.7%	+290bps





Peer Ratio Comparison (FY2025 LTM)

Metric	VMC	MLM	EXP	CRH	KNF	CX	Median
EBITDA Margin	28.7%	34.6%	33.8%	20.0%	15.6%	14.2%	24.3%
Net Margin	13.6%	18.5%	20.5%	10.0%	5.0%	6.0%	11.8%
ROIC	9.2%	7.7%	17.6%	9.6%	7.8%	2.5%	8.5%
ROE	12.6%	11.3%	31.8%	15.0%	9.6%	7.0%	12.0%
Current Ratio	2.69x	3.57x	2.73x	1.74x	2.54x	0.83x	2.54x
Net Debt/EBITDA	1.84x	2.61x	1.59x	1.88x	2.12x	2.09x	2.00x
Interest Coverage	6.4x	6.5x	15.1x	6.6x	3.6x	3.3x	6.4x



Performance Review

Revenue grew at a 9.4 percent CAGR from FY2021 to FY2025, driven primarily by price increases rather than volume gains. Aggregate price per ton rose 8 to 10 percent annually, a pattern that has held through successive rate cycles and demand slowdowns. EBITDA margin expanded 290 basis points to 28.7 percent, reflecting operating leverage on fixed quarry costs combined with disciplined SG&A management, held at 7.1 percent of revenue throughout the period. Free cash flow inflected sharply in FY2025 to $1.14bn, the strongest in company history, as capital expenditure normalised from the FY2023 peak of $873mm to $678mm. Versus peers, VMC ranks third in EBITDA margin behind MLM and EXP, and second in ROA. Leverage is conservative at 1.84x Net Debt/EBITDA, well inside the investment-grade threshold.

5. Valuation

Methodology

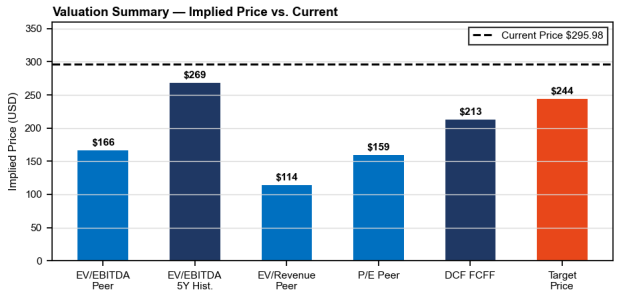
Four valuation methods are applied. Primary weight is assigned to the EV/EBITDA five-year historical average at 60 percent, as this anchors the analysis to VMC's own trading history and avoids distortions from the current elevated-rate environment that has compressed peer multiples. Peer median EV/EBITDA receives 30 percent weight to calibrate the result against current market pricing of comparable companies. EV/Revenue peer median receives 10 percent as a top-line sanity check. The DCF (FCFF, bull scenario, WACC 7.14 percent, terminal growth 3.5 percent) and peer P/E are shown for reference but excluded from the weighted average. The DDM, at $50 per share, reflects VMC's 24 percent payout ratio and is presented for completeness only.

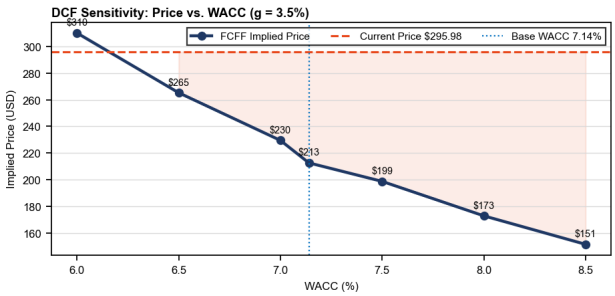
Valuation Summary

Method	Multiple / Rate	Base Metric	Implied Price	Weight
EV/EBITDA Peer Median	12.1x	EBITDA $2,130mm	$166.10	30%
EV/EBITDA 5Y Historical	18.4x	EBITDA $2,130mm	$268.56	60%
EV/Revenue Peer Median	2.4x	Revenue $7,941mm	$113.86	10%
P/E Peer Median (reference)	19.3x	Net Income $1,077mm	$159.35	Ref.
DCF FCFF Bull (reference)	WACC 7.14% g 3.5%	Five-year FCFF	$212.61	Ref.
DDM (reference)	Cost of Equity	DPS $1.96	$50.01	Ref.

Target Price Derivation

Component	Value
EV/EBITDA Peer Median $166.10 x 30%	$49.83
EV/EBITDA 5Y Historical $268.56 x 60%	$161.14
EV/Revenue Peer Median $113.86 x 10%	$11.39
Weighted Pre-Adjustment Price	$222.36
Qualitative Adjustment (+7.5%): IIJA tailwind, permitting moat, pricing power	+$16.68
Governance and ESG Discount (–1.0%)	–$2.22
Adjusted Target Price	$244.42
Current Price	$295.98
Implied Downside	–17.4%





DCF Scenario Analysis

Scenario	2030 Revenue	Revenue CAGR	WACC	Terminal	FCFF Price

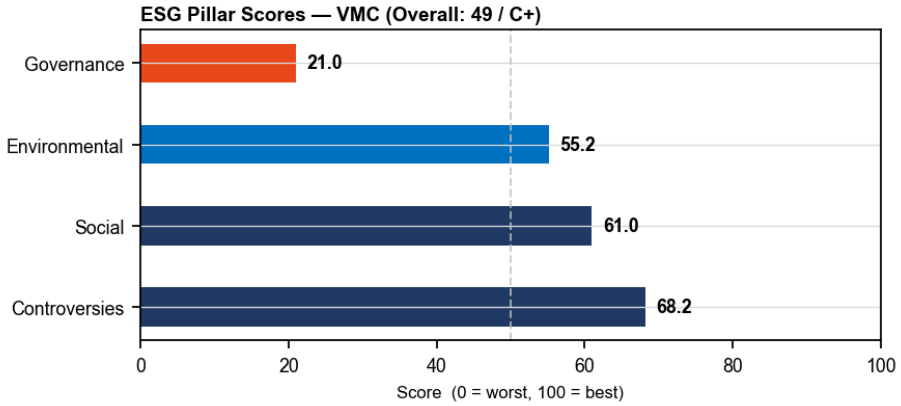
		(FY2025)		Growth	
Bear	$8,721mm	+1.9%	7.14%	3.5%	$174.01
Base	$10,971mm	+6.7%	7.14%	3.5%	$211.39
Bull	$12,061mm	+8.7%	7.14%	3.5%	$228.53

WACC Components

Input	Value	Input	Value
Risk-Free Rate	4.00%	Pre-Tax Cost of Debt	4.63%
Equity Risk Premium	5.50%	Tax Rate	21.8%
Beta	0.83	Debt Weight	11.4%
Cost of Equity	8.57%	WACC	7.14%

6. ESG Assessment

VMC's overall ESG score of 49 (C+) places it third among the six peer companies analysed, ahead of MLM (42.6) and EXP (27.1) but materially behind CRH (84.2) and CX (81.9). The score has a neutral to slightly positive impact on our base-case valuation. Environmental and social pillars are genuine strengths that support the permitting franchise. Governance is the exception and carries a direct financial consequence for the stock.



Material Factors

Pillar	Score	Rating	Investment Impact	Key Finding
Environmental	55.2	B–	Neutral / Positive	Carbon transition readiness adequate; land reclamation programmes in place at all active sites
Social	61.0	B	Positive	Strong safety record and community engagement underpin social licence for quarry permitting
Governance	21.0	D+	Negative	Board independence and compensation below peer norms; restricts ESG-mandated institutional capital
Controversies	68.2	B+	Neutral	FY2024 score declined; any escalation broadens the governance discount applied to the stock

Peer ESG Comparison

Company	Overall Score	Rating	Rank
CRH	84.2	A	#1
CX	81.9	A	#2
VMC	49.0	C+	#3
MLM	42.6	C	#4
KNF	32.5	C–	#5
EXP	27.1	D+	#6

Investment Implications

The governance score is the one ESG factor with direct and immediate financial consequences for VMC. A D+ rating restricts exposure from ESG-screened institutional funds, a segment that has grown from roughly 10 percent to over 25 percent of U.S. institutional AUM over the past five years. Structural exclusion from this capital pool suppresses demand for the stock and widens the valuation discount to higher-scoring peers such as CRH. On the positive side, the social and environmental scores directly support VMC's most critical competitive asset: the ability to obtain and maintain quarry permits. Any deterioration in these scores would represent a threat to the permitting moat itself.

7. Risk Analysis

Risk Factor	Type	Probability	Impact	Context
Valuation re-rates toward peer median (12.1x)	Downside	High	High	Primary sell catalyst. No structural reason for a 55% premium to persist into a rate normalisation cycle
Macro-driven contraction in construction activity	Downside	Medium	High	U.S. GDP resilience and IIJA public spending provide partial offset through the public segment
Residential construction recovery slower than modelled	Downside	Medium	Medium	Concrete segment already reflects weak residential demand; further deterioration is modest incremental risk
Governance controversy escalation	Downside	Low/Medium	Medium	Would accelerate ESG-mandated institutional outflows and compress the investor base further
IIJA disbursements accelerate materially above consensus	Upside	Medium	Medium	Would support higher aggregate demand forecasts but unlikely to close the valuation gap on its own
Pricing power sustains above 8% per ton annually	Upside	High	Medium	VMC's proven pricing track record; sustained execution would partially offset volume softness

Credit Risk Assessment

VMC carries an implied BBB+/Baa1 credit profile based on our internal scorecard, with an average factor score of 1.8 against an investment-grade threshold of 2.5. Net Debt/EBITDA of 1.84x and EBITDA/Interest of 9.5x are comfortably inside investment-grade covenant norms. The company has $2.5bn of incremental debt capacity remaining on its revolving credit facility. Even in a severe stress scenario encompassing 25 percent revenue decline, 7 percentage point margin compression, and 200 basis point rate shock, interest coverage holds at 3.94x, above the typical 2.5x covenant floor. Credit risk is not material to the investment thesis.

Credit Stress Test

Scenario	Revenue	EBITDA Margin	EBITDA ($mm)	Interest Coverage
Base	$7,941mm	28.7%	$2,276	9.49x
Downside (–10% revenue, –3pp margin)	$7,147mm	25.7%	$1,834	6.47x
Severe (–25% revenue, –7pp margin)	$5,956mm	21.7%	$1,290	3.94x

8. Conclusion

Final Recommendation

Vulcan Materials is a best-in-class aggregates business. Its quarry network is irreplaceable, its pricing power is a decade-long track record, and FY2025 free cash flow of $1.14bn marks a genuine structural improvement in cash generation. The business deserves a premium multiple. The current premium is simply too large.

At $295.98, the stock prices in full IIJA execution, sustained above-inflation pricing, margin expansion, and a significant structural premium simultaneously. Our blended target of $244.42 already embeds a 7.5 percent qualitative premium for VMC's structural advantages. The stock still implies 17.4 percent downside. We initiate at Sell.

Catalysts to Monitor

Catalyst	Direction	Timing
FHWA monthly infrastructure obligation data: any slowdown signals near-term aggregate demand risk	Downside	Monthly
Q2 FY2026 earnings: concrete segment recovery trajectory versus base case	Two-way	Q2 2026
Peer multiple reversion toward historical means: compresses VMC premium mechanically	Downside	Ongoing
Board restructuring or governance reform: reduces ESG discount, positive re-rating trigger	Upside	Event-driven

SELL VMC.N Target: $244.42 Current: $295.98 Downside: 17.4%